



\$55 billion
the amount raised on 141
IPOs at the NYSE in 2013



Public

Directors

Not necessarily shareholders.

Reporting

Companies have a legal obligation to disclose accounts and submit regular financial reports.

Shareholders and management

Clear boundary is drawn between the role of shareholders and management; may lead to a conflict of interest.

Financing

Can tap financial markets to raise capital by selling stock or bonds.

Valuation

Value of the company is easier to assess, from the trading price of shares and financial statements.

Size

Number of shareholders is unlimited.

GOING PUBLIC

There are legal requirements at each stage of converting a company from private to public, such as voting in a board of directors and deciding on a new name.



Choose board members

Usually at least three directors to allow future board decisions to be made with only two members present (representing a majority)



Inform staff

Must notify in writing anyone with an interest (including employees and proposed board members) that company intends to go public



Vote for conversion

Board meeting held to vote in favor of changing company's Articles of Incorporation (specifying private or public company)



Register company

Documents setting out board resolutions sent to Secretary of State, who issues certificate declaring the company is public



Make public announcement

Press releases issued, events for business held, and emails sent to inform contacts of change



NEED TO KNOW

- **Unquoted/unlisted company** Another term for a private company
- **Initial public offering (IPO)** Stock-market launch
- **Secondary stock offering** Second-round sale of shares to raise more capital
- **Ticker symbols** Unique code assigned to publicly traded companies and used by stock exchanges